# Aehr Test Systems | Current investment research

Earnings and guidance: 2 November 2026. Publication and model: 3 November 2026. Framework 8.0.

Status: NOT HELD (watchlist). Classification: critical-component chokepoint, with competitive package-level exposure.

Market snapshot: November 2 regular-session close $51.47. Reported September 25 common shares: 32.663M. Implied common-equity value: $1.681B. The forward Q4 2027 valuation uses 34.424M diluted shares.

Source: November 2 regular-session close

Active Q4 2027 ceiling: $96.74 per share. The selected case values $111.005 million of GAAP operating profit over Q4 2027-Q3 2028 at 30x, divided by 34.424 million diluted shares.

Current case

| Measure | Selected value | Meaning |
|---|---|---|
| Analytical score | 53/60 = 88% | Current thesis and risk assessment |
| Protected workbook Base | 93% | Retained owner-controlled ranking input |
| FY2027 revenue model | $166.087M | Explicit probability-weighted program upside |
| FY2027 management guide | $150M; non-GAAP net income >=20% | Year ending June 25, 2027 |
| Active F4Q revenue / OP | $325.371M / $111.005M | Quarter and next three quarters |
| Valuation law | 30x F4Q GAAP OP / diluted shares | Company-specific method retained |

Aehr supplies reliability screening as semiconductor power density, package complexity and the cost of a failed assembled device rise. FOX addresses wafer-level screening; Sonoma expands exposure to high-power package-level AI processors. Optical, power and memory applications broaden the customer opportunity.

Production ramps and an advancing benchmark customer support explicit upside. The model funds engineering, customer support, working capital, capital spending and continuing dilution. Acceptance timing, product mix and competitive pricing remain major sensitivities.

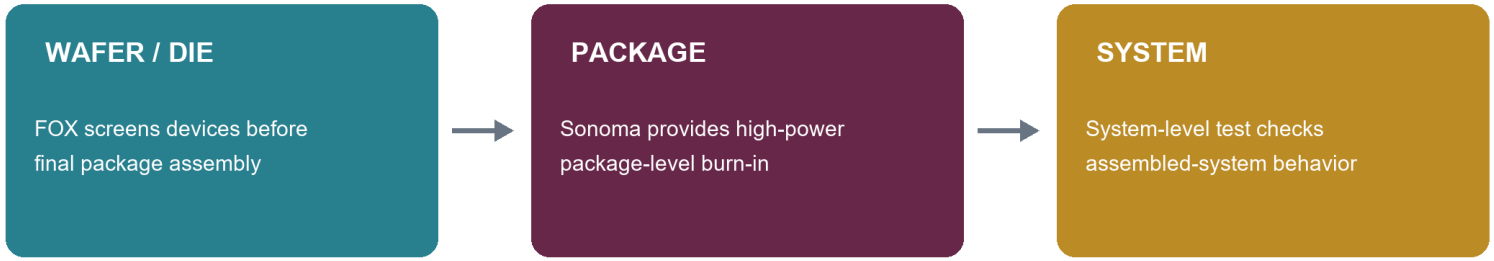
Companion calculation authority: AEHR_AehrTestSystems_DeepDive_Formula_Model.xlsx. Displayed report values use the selected R3 model and retain full precision in the calculation source.

November 2 issuer earnings and guidance

# Reliability screening and the investment thesis

Supercycle: AI compute, photonics and power semiconductors. Stage: expanding production and further qualification.

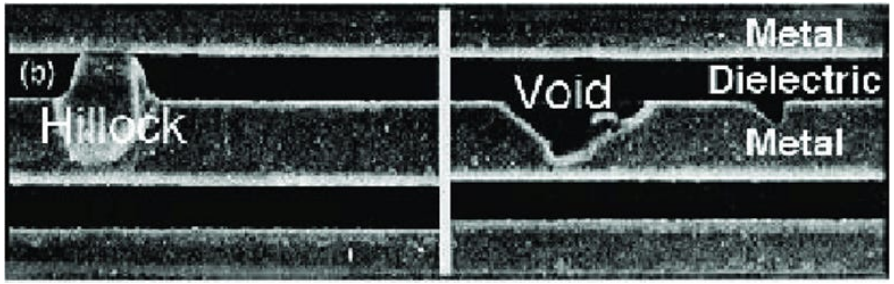
### Reliability screening across production stages




Different insertions address different failure modes and production stages.

*F01. Illustrative process map from issuer product descriptions. It provides no measured yield or throughput comparison.*

Earlier wafer-level screening can identify weak logic before valuable memory, substrates and assembly are committed to a package. Customers validate the screen against device physics, yield and mission profile. Package-level burn-in serves assembled devices and has a separate competitive field.

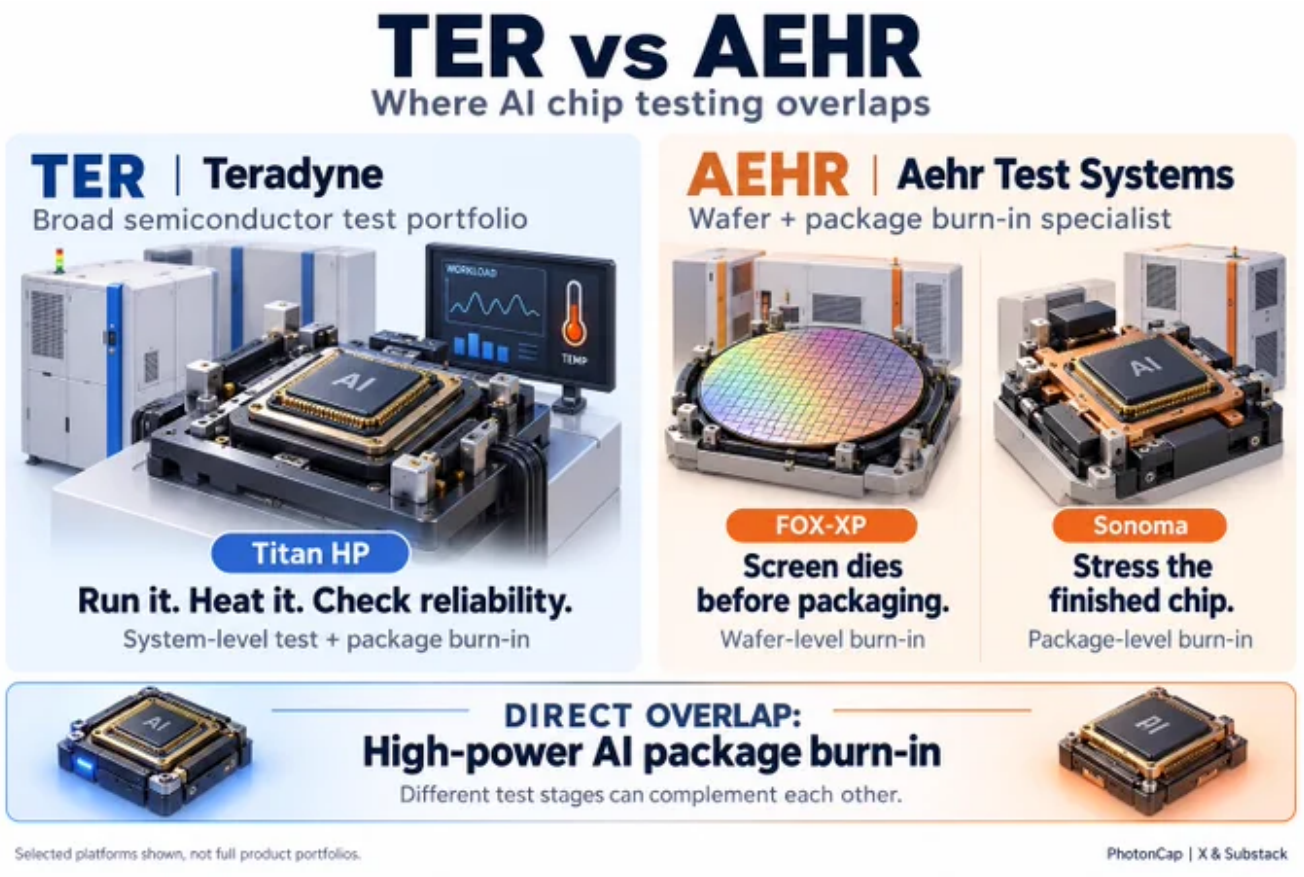



*Generic electromigration hillock and void illustration. Source: Team VLSI image reproduced by Irrational Analysis, March 5, 2026.*

Technical-source article

# FOX and Sonoma in the production process

Source diagram: PhotonCap, 7 October 2026. Interpret product roles together with issuer disclosures.




*PhotonCap platform-position diagram. Titan HP and Sonoma overlap in package-level applications; FOX screens at wafer level. The diagram supplies no measured customer yield, throughput or pricing comparison.*

The current case keeps one bounded pricing deduction for contestable Sonoma and new orders. Wafer-level differentiation supports the thesis while commercial conversion remains customer-specific. The exposure percentage is a low-confidence aggregate proxy.

PhotonCap original source

# Customer programs and conversion milestones

Anonymous customer identities and stated installation and validation conditions are retained.

November 2 issuer update

| Program | Current evidence | Next economic test |
|---|---|---|
| Lead AI wafer-level customer | Capacity expansion; August $22M follow-on order | Shipment and acceptance in the existing plan |
| Accelerator / CPU / network supplier | Decision to buy a fully configured FOX-XP test cell | Early-2027 Taiwan installation, validation, then production decision |
| Lead hyperscale: first Sonoma processor | More than a dozen systems shipping and installing per month | Sustained demand and accepted deliveries |
| Same customer: second Sonoma processor | Qualified; follow-on orders support initial sampling | Expected 2027 ramp and larger ultimate volume forecast |
| Broader pipeline | Over a dozen potential significant-production customers | Separately identifiable orders and acceptance programs |




*October 7 issuer release header. Follow-on orders support the same hyperscale customer's second processor program.*

Current issuer program update

October 7 issuer release

# Latest actual results and fiscal guidance

Q1 FY2027: June 27-September 25, 2026. Financial values in USD millions unless stated.

Reported and guided anchors

| Measure | Actual / guidance | Basis |
|---|---|---|
| Revenue | 33.007 | Issuer headline growth: 200% YoY and 75% sequential |
| GAAP gross profit / margin | 15.663 / 47.5% | Statement of operations |
| GAAP OP / net income | 6.047 / 7.181 | Operating profit includes recurring costs |
| GAAP / non-GAAP diluted EPS | $0.21 / $0.28 | Non-GAAP net income: 9.357 |
| Bookings / backlog / effective backlog | 46.7 / 100.9 / 109.3 | Q1 / September 25 / November 1 |
| FY2027 revenue / non-GAAP net margin | 150 / at least 20% | Fiscal year ending June 25, 2027 |

May 30-June 26 is a separate transition month before fiscal 2027. It produced $0.638 million revenue and a $2.743 million GAAP net loss. The fiscal-year model combines the latest Q1 actual with three forward fiscal-quarter proxy buckets. Calendar labels identify the buckets; issuer cutoff dates differ by several days.

The management guide implies at least $30 million non-GAAP net income. The selected model reaches $166.087 million revenue and $41.527 million non-GAAP net income for the year.

Issuer release and financial statements

# Primary statement of operations



The source supplies actual revenue, costs, profit and share counts. The one-month transition remains a separate column.

– Financial Tables to Follow –

**AEHR TEST SYSTEMS**
**CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS**
**(Unaudited)**

| | Three Months Ended | | | One Month Ended |
|---|---|---|---|---|
| (In thousands, except per share data) | September 25, 2026 | May 29, 2026 | August 29, 2025 | June 26, 2026 |
| Revenue | $ 33,007 | $ 18,835 | $ 10,969 | $ 638 |
| Cost of revenue | 17,344 | 10,816 | 7,250 | 1,650 |
| Gross profit (loss) | 15,663 | 8,019 | 3,719 | (1,012) |
| Operating expenses: | | | | |
| Research and development | 4,143 | 3,645 | 2,849 | 1,164 |
| Selling, general and administrative | 5,473 | 5,580 | 4,717 | 1,819 |
| Restructuring charges | - | - | 219 | - |
| Total operating expenses | 9,616 | 9,225 | 7,785 | 2,983 |
| Income (loss) from operations | 6,047 | (1,206) | (4,066) | (3,995) |
| Interest income, net | 899 | 748 | 179 | 301 |
| Other income (expense), net | (19) | 3 | 1,051 | 21 |
| Income (loss) before income tax benefit | 6,927 | (455) | (2,836) | (3,673) |
| Income tax benefit | (254) | (1,846) | (752) | (930) |
| Net income (loss) | $ 7,181 | $ 1,391 | $ (2,084) | $ (2,743) |
| | | | | |
| Net income (loss) per share: | | | | |
| Basic | $ 0.22 | $ 0.04 | $ (0.07) | $ (0.08) |
| Diluted | $ 0.21 | $ 0.04 | $ (0.07) | $ (0.08) |
| Shares used in per share calculations: | | | | |
| Basic | 32,619 | 31,881 | 29,923 | 32,485 |
| Diluted | 33,520 | 33,170 | 29,923 | 32,485 |

*Issuer statement of operations*

Source: original issuer exhibit

# Earnings quality and recurring operating costs

The valuation numerator is GAAP operating profit. Non-GAAP values provide a reconciliation.

Q1 net-income reconciliation

| Component | USD M |
|---|---|
| GAAP net income | 7.181 |
| Stock-based compensation | 1.880 |
| Acquisition-related adjustments | 0.296 |
| Restructuring adjustments | 0.000 |
| Non-GAAP net income | 9.357 |

Stock compensation and finite-life acquired-intangible amortization remain in GAAP operating profit. R&D and SG&A include fixed foundations growing 2% annually and variable expenses of 5% and 3% of pre-pricing revenue. The formula calibrates to $9.616 million quarterly GAAP operating expenses.

SBC begins at $1.880 million per quarter and grows 3% annually. Acquisition amortization of $0.296 million remains in operating costs. The $0.707 million starting D&A cash addback already includes acquired-intangible amortization.

Q1 pretax income of $6.927 million plus the $0.254 million tax benefit produced $7.181 million net income. Future positive pretax income uses assumed 25% book and cash tax. The $25.120 million deferred tax asset supplies no assumed cash funding.

Issuer reconciliation

# Primary GAAP-to-non-GAAP reconciliation

Aehr Test Systems | Unaudited issuer exhibit | 2 November 2026

This exhibit separates gross-profit, expense, operating-income and net-income adjustments. The selected valuation retains the costs excluded from non-GAAP income.

**AEHR TEST SYSTEMS**
**RECONCILIATION OF GAAP TO NON-GAAP RESULTS**
**(Unaudited)**

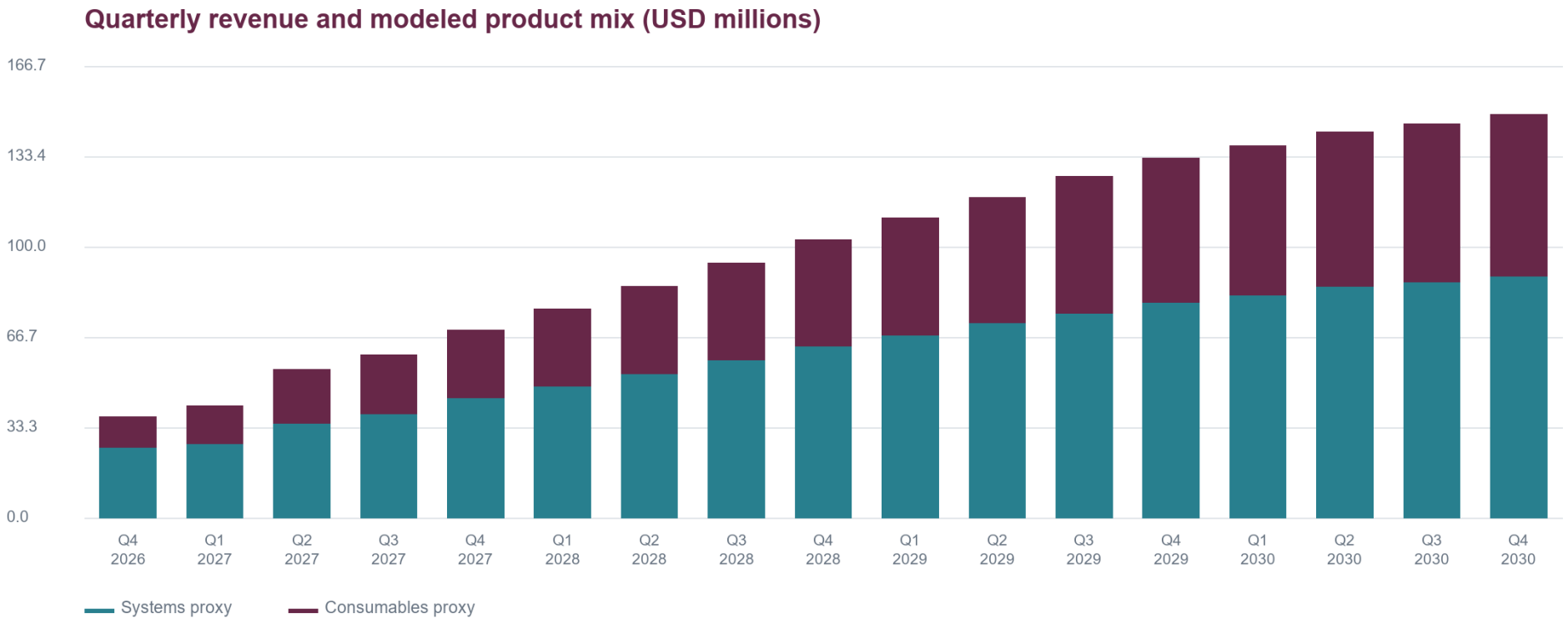
| | Three Months Ended | | | One Month Ended |
|---|---|---|---|---|
| **(In thousands, except per share data)** | **September 25, 2026** | **May 29, 2026** | **August 29, 2025** | **June 26, 2026** |
| **Reconciliation of GAAP to non-GAAP gross profit (loss)** | | | | |
| GAAP gross profit (loss) | $ 15,663 | $ 8,019 | $ 3,719 | $ (1,012) |
| Special items: | | | | |
| a) Stock-based compensation expense | 171 | 216 | 159 | 36 |
| b) Acquisition-related adjustments | 190 | 191 | 237 | 63 |
| Non-GAAP gross profit (loss) | $ 16,024 | $ 8,426 | $ 4,115 | $ (913) |
| **Reconciliation of GAAP to non-GAAP operating expenses** | | | | |
| GAAP operating expenses | $ 9,616 | $ 9,225 | $ 7,785 | $ 2,983 |
| Special items: | | | | |
| a) Stock-based compensation expense | (1,709) | (1,649) | (1,512) | (412) |
| b) Acquisition-related adjustments | (106) | (105) | (105) | (35) |
| c) Restructuring charges | - | - | (219) | - |
| Non-GAAP operating expenses | $ 7,801 | $ 7,471 | $ 5,949 | $ 2,536 |
| **Reconciliation of GAAP to non-GAAP income (loss) from operations** | | | | |
| GAAP income (loss) from operations | $ 6,047 | $ (1,206) | $ (4,066) | $ (3,995) |
| Special items: | | | | |
| a) Stock-based compensation expense | 1,880 | 1,865 | 1,671 | 448 |
| b) Acquisition-related adjustments | 296 | 296 | 342 | 98 |
| c) Restructuring charges | - | - | 219 | - |
| Non-GAAP income (loss) from operations | $ 8,223 | $ 955 | $ (1,834) | $ (3,449) |
| **Reconciliation of GAAP to non-GAAP income (loss) before income tax benefit** | | | | |
| GAAP income (loss) before income tax benefit | $ 6,927 | $ (455) | $ (2,836) | $ (3,673) |
| Special items: | | | | |
| a) Stock-based compensation expense | 1,880 | 1,865 | 1,671 | 448 |
| b) Acquisition-related adjustments | 296 | 296 | 365 | 98 |
| c) Restructuring charges | - | - | 219 | - |
| Non-GAAP income (loss) before income tax benefit | $ 9,103 | $ 1,706 | $ (581) | $ (3,127) |
| **Reconciliation of GAAP to non-GAAP net income (loss)** | | | | |
| GAAP net income (loss) | $ 7,181 | $ 1,391 | $ (2,084) | $ (2,743) |
| Special items: | | | | |
| a) Stock-based compensation expense | 1,880 | 1,865 | 1,671 | 448 |
| b) Acquisition-related adjustments | 296 | 296 | 365 | 98 |
| c) Restructuring charges | - | - | 219 | - |
| Non-GAAP net income (loss) | $ 9,357 | $ 3,552 | $ 171 | $ (2,197) |
| **Reconciliation of GAAP to non-GAAP income (loss) per diluted share** | | | | |
| GAAP income (loss) per diluted share | $ 0.21 | $ 0.04 | $ (0.07) | $ (0.08) |
| Special items: | | | | |
| a) Stock-based compensation expense | 0.06 | 0.06 | 0.06 | 0.01 |
| b) Acquisition-related adjustments | 0.01 | 0.01 | 0.01 | 0.00 |
| c) Restructuring charges | - | - | 0.01 | - |
| Non-GAAP income (loss) per diluted share | $ 0.28 | $ 0.11 | $ 0.01 | $ (0.07) |

*Aehr GAAP to non-GAAP reconciliation, November 2, 2026. USD thousands except per-share data.*

Source: original issuer exhibit

# Revenue path and product mix

Figure F02 | All forecast quarters from Q4 2026 through Q4 2030.




*F02. All bars are model estimates. Product allocations are analyst proxies and reconcile to consolidated revenue.*

Systems and consumables reconcile to one consolidated revenue stream. The forward split is a proxy informed by reported contactor sales and management commentary. Each program bundle includes its initial consumables; repeat purchases remain inside the core and existing-customer pool.

Current call: product mix and demand

# Revenue and product mix | Numerical table

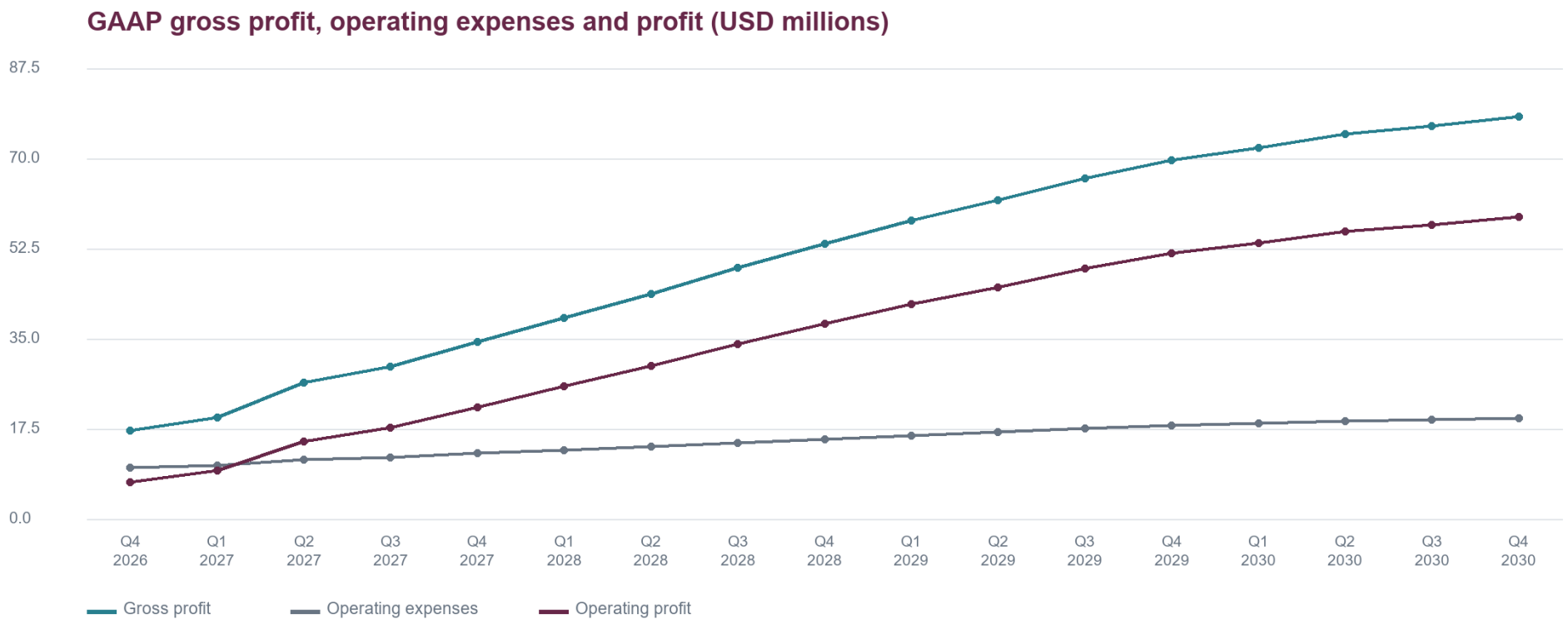
F02 supporting data. All rows are Model. USD millions; columns retain their specific pre/post-pricing scope.

| Quarter | Core | Existing upside | Benchmark | NAND | HBM unique | Systems | Consumables | Revenue |
|---|---|---|---|---|---|---|---|---|
| Q4 2026 | 35.000 | 2.200 | 0.000 | 0.000 | 0.000 | 26.040 | 11.160 | 37.200 |
| Q1 2027 | 38.000 | 3.300 | 0.000 | 0.000 | 0.000 | 27.227 | 14.042 | 41.269 |
| Q2 2027 | 43.993 | 5.500 | 5.200 | 0.000 | 0.000 | 34.921 | 19.689 | 54.611 |
| Q3 2027 | 48.000 | 4.400 | 7.800 | 0.000 | 0.000 | 38.393 | 21.672 | 60.065 |
| Q4 2027 | 52.000 | 4.400 | 13.000 | 0.000 | 0.000 | 44.208 | 24.984 | 69.192 |
| Q1 2028 | 56.000 | 4.400 | 16.900 | 0.000 | 0.000 | 48.467 | 28.601 | 77.068 |
| Q2 2028 | 60.000 | 4.400 | 20.800 | 0.000 | 0.300 | 53.181 | 32.063 | 85.244 |
| Q3 2028 | 64.000 | 4.400 | 24.700 | 0.450 | 0.600 | 58.091 | 35.777 | 93.868 |
| Q4 2028 | 68.000 | 4.400 | 28.600 | 0.900 | 0.900 | 63.428 | 39.064 | 102.492 |
| Q1 2029 | 72.000 | 4.400 | 32.500 | 0.900 | 1.200 | 67.377 | 43.290 | 110.667 |
| Q2 2029 | 75.000 | 4.400 | 36.400 | 1.350 | 1.500 | 72.021 | 46.274 | 118.294 |
| Q3 2029 | 78.000 | 4.400 | 40.300 | 1.800 | 1.800 | 75.401 | 50.520 | 125.921 |
| Q4 2029 | 81.000 | 4.400 | 44.200 | 1.800 | 1.800 | 79.520 | 53.280 | 132.800 |
| Q1 2030 | 84.000 | 4.400 | 45.500 | 1.800 | 2.100 | 82.267 | 55.120 | 137.387 |
| Q2 2030 | 87.000 | 4.400 | 46.800 | 2.250 | 2.400 | 85.281 | 57.140 | 142.421 |
| Q3 2030 | 90.000 | 4.400 | 46.800 | 2.250 | 2.400 | 87.072 | 58.340 | 145.412 |
| Q4 2030 | 93.000 | 4.400 | 46.800 | 2.700 | 2.400 | 89.132 | 59.720 | 148.852 |

Revenue equals core plus weighted program increments, less pricing. Category revenue is shown after pricing; program contributions are before pricing. Beyond fiscal 2027, core growth is an analyst continuation assumption.

# Gross profit, operating costs and margin

Figure F03 | Category margins and fixed-plus-variable costs build GAAP operating profit.




*F03. SBC and acquired-intangible amortization remain in GAAP profit. Category margins and operating leverage are analyst assumptions.*

Systems gross margins range from 40% to 45%; consumables range from 60% to 64%. Aehr has not disclosed these category margins. They are analyst assumptions supporting an auditable mix bridge. The first forecast quarter carries a lower mix-driven gross margin as Sonoma deliveries rise.

Variable R&D is 5% of pre-pricing revenue and SG&A is 3%. Remaining foundations grow 2% annually. Management's approximately 48.5% gross-margin discussion uses a non-GAAP measure; these tables use GAAP gross profit.

# Profit and costs | Numerical table

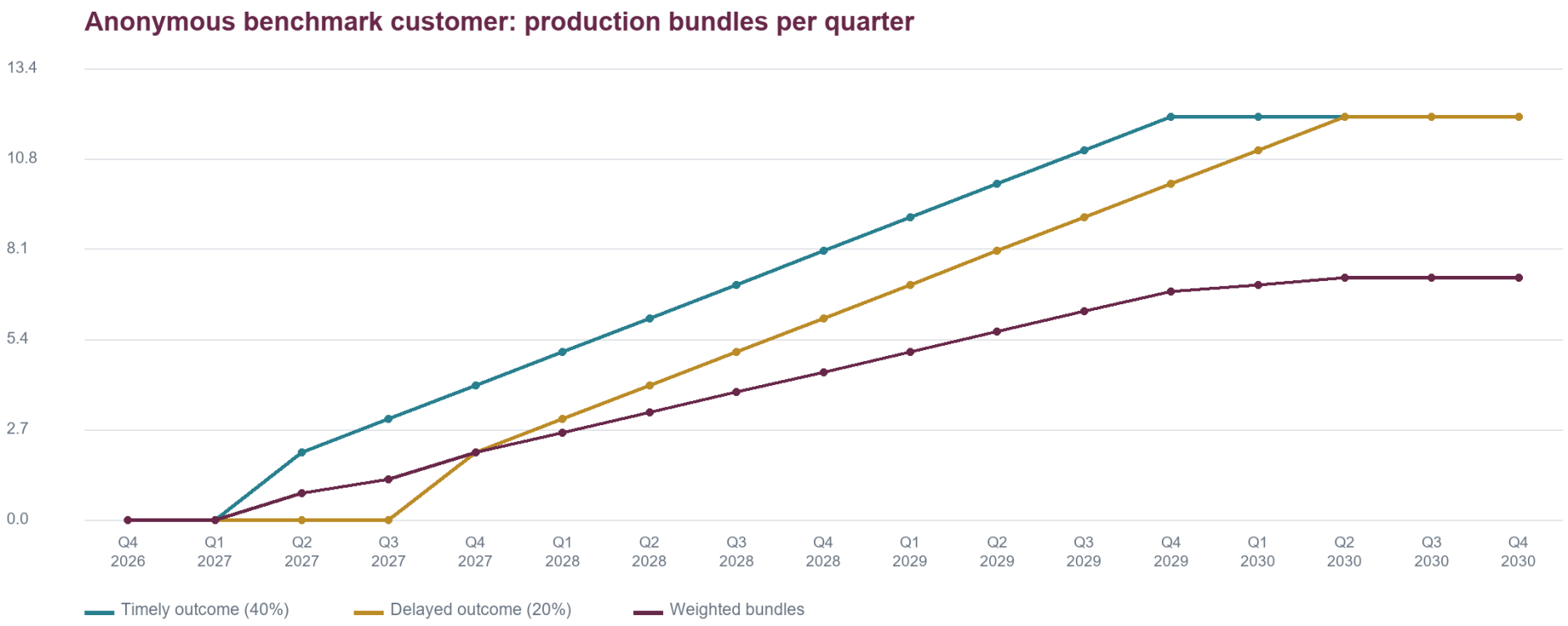
F03 supporting data. USD millions. All rows are Model; recurring SBC and amortization remain in costs.

| Quarter | Systems GP | Consumables GP | Total GP | R&D | SG&A | GAAP OP | GM | OPM |
|---|---|---|---|---|---|---|---|---|
| Q4 2026 | 10.416 | 6.696 | 17.112 | 4.365 | 5.621 | 7.126 | 46.00% | 19.16% |
| Q1 2027 | 11.283 | 8.425 | 19.708 | 4.582 | 5.766 | 9.359 | 47.75% | 22.68% |
| Q2 2027 | 14.624 | 11.814 | 26.437 | 5.265 | 6.191 | 14.982 | 48.41% | 27.43% |
| Q3 2027 | 16.246 | 13.328 | 29.574 | 5.553 | 6.378 | 17.643 | 49.24% | 29.37% |
| Q4 2027 | 18.901 | 15.490 | 34.391 | 6.025 | 6.677 | 21.689 | 49.70% | 31.35% |
| Q1 2028 | 21.207 | 17.876 | 39.083 | 6.433 | 6.937 | 25.713 | 50.71% | 33.36% |
| Q2 2028 | 23.536 | 20.199 | 43.735 | 6.856 | 7.206 | 29.674 | 51.31% | 34.81% |
| Q3 2028 | 26.000 | 22.718 | 48.718 | 7.301 | 7.488 | 33.929 | 51.90% | 36.15% |
| Q4 2028 | 28.388 | 25.001 | 53.389 | 7.746 | 7.771 | 37.872 | 52.09% | 36.95% |
| Q1 2029 | 30.153 | 27.706 | 57.859 | 8.169 | 8.040 | 41.649 | 52.28% | 37.63% |
| Q2 2029 | 32.231 | 29.615 | 61.846 | 8.565 | 8.293 | 44.988 | 52.28% | 38.03% |
| Q3 2029 | 33.741 | 32.333 | 66.074 | 8.960 | 8.546 | 48.567 | 52.47% | 38.57% |
| Q4 2029 | 35.584 | 34.099 | 69.684 | 9.318 | 8.777 | 51.588 | 52.47% | 38.85% |
| Q1 2030 | 36.813 | 35.277 | 72.090 | 9.562 | 8.939 | 53.590 | 52.47% | 39.01% |
| Q2 2030 | 38.162 | 36.570 | 74.732 | 9.827 | 9.114 | 55.791 | 52.47% | 39.17% |
| Q3 2030 | 38.964 | 37.338 | 76.301 | 9.991 | 9.228 | 57.083 | 52.47% | 39.26% |
| Q4 2030 | 39.885 | 38.221 | 78.106 | 10.177 | 9.355 | 58.574 | 52.47% | 39.35% |

Gross profit equals category GP after pricing. OP equals GP less R&D and SG&A. The pricing case allows expense relief equal to 5% of lost price; the other 95% reduces profit.

# Benchmark customer: production conversion

Figure F04 | Taiwan installation and validation precede the modeled production ramp.




*F04. The remaining 40% outcome has zero modeled production. A $6.5M system-plus-consumables bundle and the unit schedule are explicit model assumptions.*

The selected 60% conversion probability comprises 40% timely production and 20% production two quarters later. The other 40% outcome contributes zero modeled production. A $6.5 million bundle and the unit trajectory are explicit assumptions informed by management's illustrative system economics.

The initial evaluation cell is allocated to core revenue. Production increments begin after the modeled validation period. Further devices, sites and orders can alter this path. Customer identity remains anonymous.

Current call: timing and illustrative bundle economics

# Probability ledger | Active economic assumptions

Probabilities are subjective outcome judgments. Statements from the same event remain one evidence group.

| Signal | Probability / timing | Economic treatment | Update trigger |
|---|---|---|---|
| Existing-customer upside | 55% | Conditional FY2027 +$20M; weighted +$11M. Half allocated to optical. | Accepted incremental orders above core |
| Benchmark production | 40% timely; 20% delayed; 40% no conversion | $6.5M assumed bundles; initial cell in core. | Installation, validation and production POs |
| NAND | 15%; model begins Q3 2028 | $3M development equivalents; zero FY2027 revenue. | Development, capacity and delivery plan |
| HBM logic base die | 20%; model begins Q2 2028 | $3M pilot equivalents; 50% unique share after overlap. | Independent paid program and qualification |
| Sonoma pricing | 30% adverse outcome | 5% concession on 20% exposure proxy; 5% cost relief. | Realized pricing, capabilities and accepted wins/losses |

The 48 joint outcomes calculate product GP, opex, tax, working capital, cash and dilution before weighting. Independence among the branch dimensions is a modeling assumption. Endpoints cover the chosen hypotheses and carry no statistical confidence-level claim.

Confidence: fiscal-2027 guidance is HIGH as a management anchor. Core continuation and customer conversions are MEDIUM/LOW forecasts. Product margins, unit schedules, working capital and long-range share growth are LOW-confidence assumptions. Reported share counts and current cash are HIGH-confidence actuals.

# Program contributions and benchmark units

F04 supporting data. USD millions except bundle counts. Program amounts are weighted and before pricing.

| Quarter | Timely units | Delayed units | Weighted units | Benchmark $M | Optical | Sonoma | NAND | HBM |
|---|---|---|---|---|---|---|---|---|
| Q4 2026 | 0 | 0 | 0.00 | 0.000 | 1.100 | 1.100 | 0.000 | 0.000 |
| Q1 2027 | 0 | 0 | 0.00 | 0.000 | 1.650 | 1.650 | 0.000 | 0.000 |
| Q2 2027 | 2 | 0 | 0.80 | 5.200 | 2.750 | 2.750 | 0.000 | 0.000 |
| Q3 2027 | 3 | 0 | 1.20 | 7.800 | 2.200 | 2.200 | 0.000 | 0.000 |
| Q4 2027 | 4 | 2 | 2.00 | 13.000 | 2.200 | 2.200 | 0.000 | 0.000 |
| Q1 2028 | 5 | 3 | 2.60 | 16.900 | 2.200 | 2.200 | 0.000 | 0.000 |
| Q2 2028 | 6 | 4 | 3.20 | 20.800 | 2.200 | 2.200 | 0.000 | 0.300 |
| Q3 2028 | 7 | 5 | 3.80 | 24.700 | 2.200 | 2.200 | 0.450 | 0.600 |
| Q4 2028 | 8 | 6 | 4.40 | 28.600 | 2.200 | 2.200 | 0.900 | 0.900 |
| Q1 2029 | 9 | 7 | 5.00 | 32.500 | 2.200 | 2.200 | 0.900 | 1.200 |
| Q2 2029 | 10 | 8 | 5.60 | 36.400 | 2.200 | 2.200 | 1.350 | 1.500 |
| Q3 2029 | 11 | 9 | 6.20 | 40.300 | 2.200 | 2.200 | 1.800 | 1.800 |
| Q4 2029 | 12 | 10 | 6.80 | 44.200 | 2.200 | 2.200 | 1.800 | 1.800 |
| Q1 2030 | 12 | 11 | 7.00 | 45.500 | 2.200 | 2.200 | 1.800 | 2.100 |
| Q2 2030 | 12 | 12 | 7.20 | 46.800 | 2.200 | 2.200 | 2.250 | 2.400 |
| Q3 2030 | 12 | 12 | 7.20 | 46.800 | 2.200 | 2.200 | 2.250 | 2.400 |
| Q4 2030 | 12 | 12 | 7.20 | 46.800 | 2.200 | 2.200 | 2.700 | 2.400 |

Optical and Sonoma split one existing-customer upside pool equally. The allocation is an analyst proxy. HBM includes a 50% overlap deduction. The source does not disclose these future dollar schedules.

# Additional signals and overlap controls

Current call evidence affects timing, capacity confidence and the existing-customer pool.

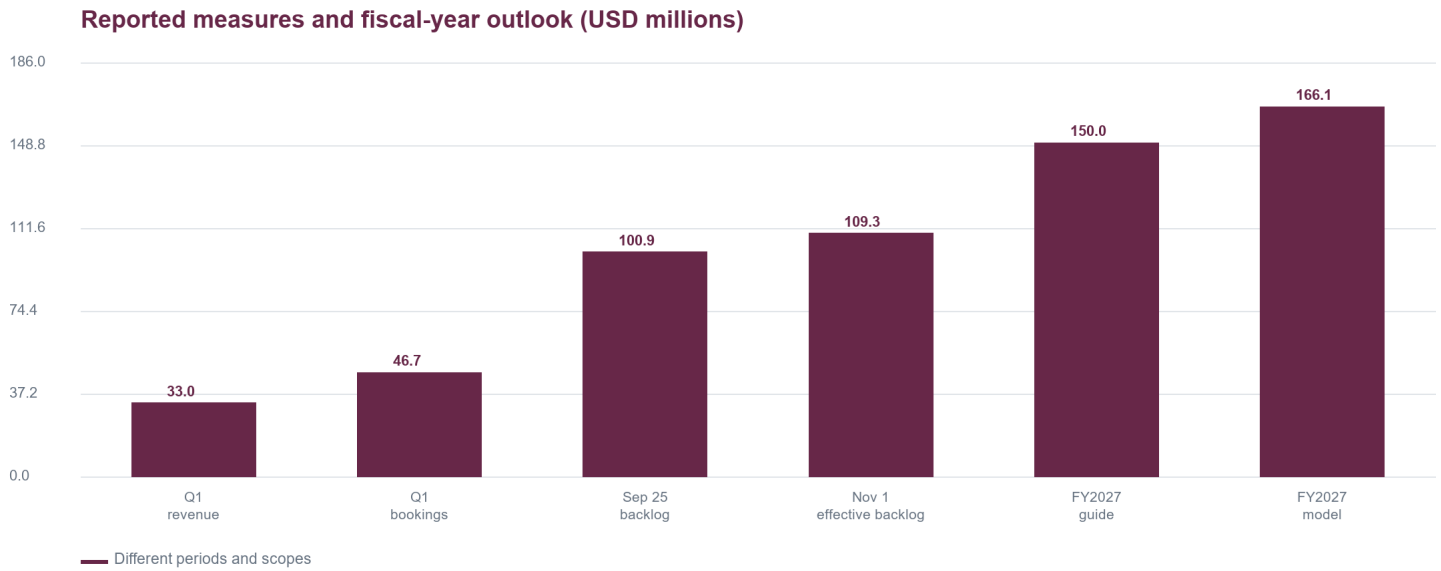
| Signal | Probability / bounded diagnostic | Current treatment |
|---|---|---|
| Customer requests to ship quickly | 90% for the defined timing outcome | Q1 actual includes pull-ins. Future upside is counted once. |
| Multiple optical customer orders | 80% for the stated optical outcome | Known orders in core; incremental demand in the shared pool. |
| Second Sonoma processor | 85% for the stated ramp outcome | Sampling and base ramp in core; higher ultimate volume supports upside. |
| Two additional GaN production customers | 80%; $2-6M conditional diagnostic | Weighted $1.6-4.8M fully overlaps core/current customers. |
| SiC utilization and contactor recovery | 75%; $2.7-5.4M conditional diagnostic | Weighted attribution remains in core consumables. Conflicting transcript figures are unused. |
| Broader customer pipeline | 55% for significant-production potential | Supports core continuation and the shared upside pool; zero separate addition. |
| Customer-identity hypothesis | Identity remains unverified | Anonymous customer economics already modeled; zero identity-specific increment. |
| Wafer assembly productivity | 60%; one-third hours if successful | 2.2x weighted capacity diagnostic; no added revenue or second margin credit. |

Capacity supports delivery capability. Accepted orders, device qualification and customer schedules determine revenue. Broader customer breadth supports the existing-customer probability and core continuation. Social customer-identity guesses carry zero identity-specific revenue.

Full current syndicated transcript

# Orders, backlog and fiscal-year outlook

Figure F05 | Reported revenue, orders and backlog retain their dates and scopes.




*F05. Bookings and backlog overlap. Each bar retains its date or period; these amounts are not summed. The model adds explicit probability-weighted upside.*

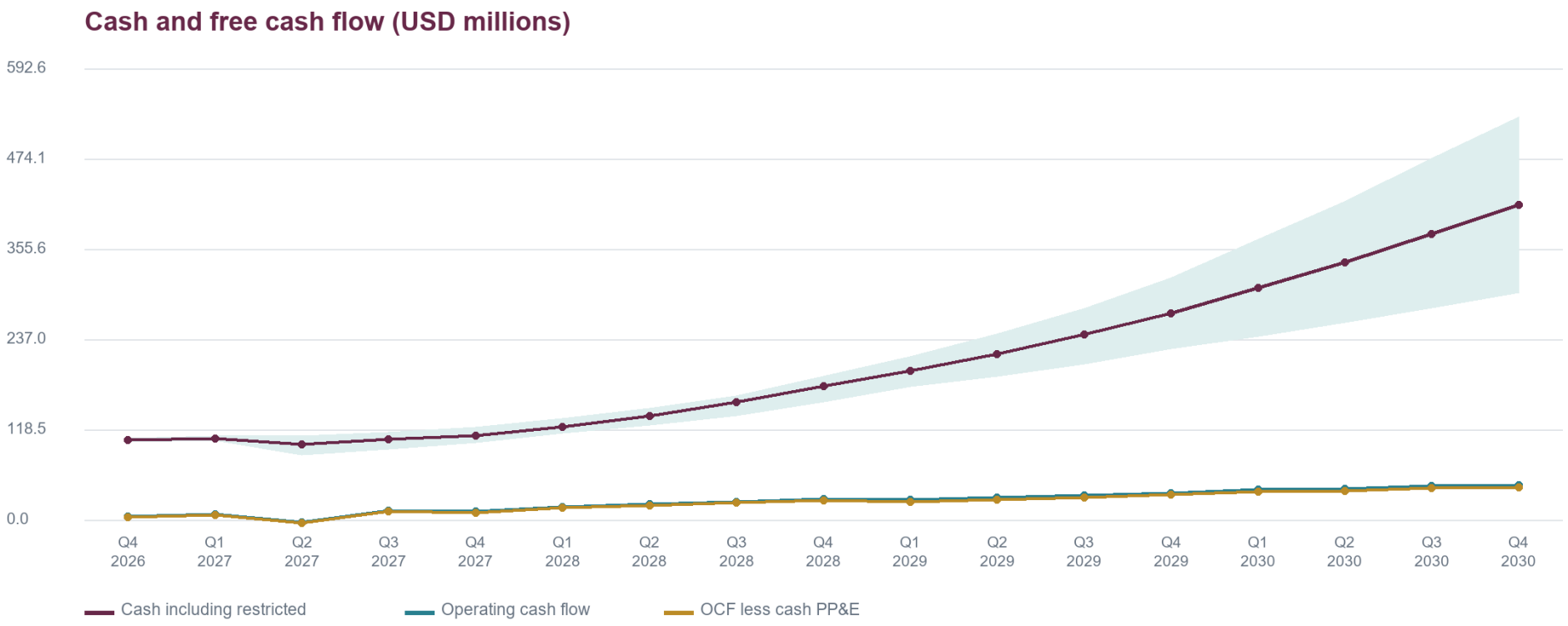
F05 numerical support

| Measure | Period | USD M |
|---|---|---|
| Revenue | Q1 FY2027 | 33.007 |
| Bookings | Q1 FY2027 | 46.700 |
| Backlog | September 25, 2026 | 100.900 |
| Effective backlog | November 1, 2026 | 109.300 |
| Management revenue guide | FY ending June 25, 2027 | 150.000 |
| Selected revenue model | Same fiscal-year proxy | 166.086986 |

Known $22M August and $6M October orders sit inside core. The new model includes $11M weighted existing-customer upside and $5.2M benchmark production, after which the pricing adjustment produces the total.

# Working capital, free cash flow and liquidity

Figure F06 | Cash starts at the reported September 25 balance, including restricted cash.




*F06. The shaded area spans selected branch minimum and maximum cash balances. It is a modeled outcome envelope without a statistical coverage probability.*

Opening cash is $105.052 million. Receivables, inventory, payables and deferred revenue evolve with modeled sales and costs. Collection days are 72, payables days 65 and deferred-revenue days 22. Inventory days decline from 260 to 180 over nine forecast quarters. These are assumptions.

Cash PP&E is the greater of $0.5 million per quarter or 2% of revenue. Quarterly employee-plan proceeds of $0.337 million and RSU withholding of $4.474 million repeat as a conservative continuation assumption. No new equity issuance, borrowing, acquisition or dividend is selected.

# Cash generation | Numerical table

F06 supporting data. USD millions. FCF equals operating cash flow less cash PP&E.

| Quarter | Net income | Book/cash tax | OCF | Cash PP&E | FCF | RSU cash | Ending cash |
|---|---|---|---|---|---|---|---|
| Q4 2026 | 5.994 | 1.998 | 4.333 | 0.744 | 3.589 | -4.474 | 104.504 |
| Q1 2027 | 7.666 | 2.555 | 7.272 | 0.825 | 6.446 | -4.474 | 106.813 |
| Q2 2027 | 11.897 | 3.966 | -3.130 | 1.092 | -4.222 | -4.474 | 98.454 |
| Q3 2027 | 13.841 | 4.614 | 12.412 | 1.201 | 11.211 | -4.474 | 105.528 |
| Q4 2027 | 16.920 | 5.640 | 10.607 | 1.384 | 9.223 | -4.474 | 110.614 |
| Q1 2028 | 19.969 | 6.656 | 17.107 | 1.541 | 15.565 | -4.474 | 122.042 |
| Q2 2028 | 23.011 | 7.670 | 20.204 | 1.705 | 18.499 | -4.474 | 136.404 |
| Q3 2028 | 26.291 | 8.764 | 23.870 | 1.877 | 21.993 | -4.474 | 154.260 |
| Q4 2028 | 29.358 | 9.786 | 27.368 | 2.050 | 25.318 | -4.474 | 175.441 |
| Q1 2029 | 32.323 | 10.774 | 25.951 | 2.213 | 23.738 | -4.474 | 195.042 |
| Q2 2029 | 34.948 | 11.649 | 28.985 | 2.366 | 26.619 | -4.474 | 217.524 |
| Q3 2029 | 37.772 | 12.591 | 32.134 | 2.518 | 29.616 | -4.474 | 243.003 |
| Q4 2029 | 40.195 | 13.398 | 35.156 | 2.656 | 32.500 | -4.474 | 271.366 |
| Q1 2030 | 41.872 | 13.957 | 39.493 | 2.748 | 36.745 | -4.474 | 303.974 |
| Q2 2030 | 43.724 | 14.575 | 40.853 | 2.848 | 38.004 | -4.474 | 337.841 |
| Q3 2030 | 44.903 | 14.968 | 44.406 | 2.908 | 41.498 | -4.474 | 375.202 |
| Q4 2030 | 46.252 | 15.417 | 45.263 | 2.977 | 42.286 | -4.474 | 413.351 |

SBC and D&A are added once in OCF. Rent remains in GAAP opex. The model offsets $0.200M ROU amortization with a $0.200M lease-liability adjustment under a steady-state assumption; source-quarter amounts were +$0.200M and -$0.164M.

# Primary balance sheet

Aehr Test Systems | Unaudited issuer exhibit | 2 November 2026

September 25 cash and equivalents were $104.902M, with $0.150M additional restricted cash. Receivables of $26.630M and inventory of $53.120M anchor working capital.

**AEHR TEST SYSTEMS**
**CONDENSED CONSOLIDATED BALANCE SHEETS**
**(Unaudited)**

| (In thousands, except par value) | September 25, 2026 | June 26, 2026 | May 29, 2026 |
|---|---|---|---|
| **ASSETS** | | | |
| Current assets: | | | |
| Cash and cash equivalents | $ 104,902 | $ 112,308 | $ 116,358 |
| Accounts receivable | 26,630 | 15,946 | 17,473 |
| Inventories | 53,120 | 44,410 | 41,354 |
| Prepaid expenses and other current assets | 11,225 | 9,745 | 9,263 |
| Total current assets | 195,877 | 182,409 | 184,448 |
| Property and equipment, net | 8,820 | 8,814 | 8,940 |
| Goodwill | 10,719 | 10,719 | 10,719 |
| Intangible assets, net | 9,157 | 9,453 | 9,552 |
| Deferred tax assets, net | 25,120 | 24,766 | 23,829 |
| Operating lease right-of-use assets, net | 8,812 | 8,838 | 8,901 |
| Other non-current assets | 277 | 306 | 305 |
| Total assets | $ 258,782 | $ 245,305 | $ 246,694 |
| **LIABILITIES AND SHAREHOLDERS' EQUITY** | | | |
| Current liabilities: | | | |
| Accounts payable | $ 12,504 | $ 6,353 | $ 6,754 |
| Accrued expenses and other current liabilities | 6,295 | 5,214 | 5,283 |
| Operating lease liabilities, short-term | 653 | 592 | 626 |
| Deferred revenue, short-term | 7,944 | 6,698 | 5,192 |
| Total current liabilities | 27,396 | 18,857 | 17,855 |
| Operating lease liabilities, long-term | 9,151 | 9,202 | 9,256 |
| Deferred revenue, long-term | 86 | 56 | 34 |
| Other long-term liabilities | 37 | 38 | 38 |
| Total liabilities | 36,670 | 28,153 | 27,183 |
| Shareholders' equity: | | | |
| Preferred stock, $0.01 par value: Authorized: 10,000 shares; | | | |
| Issued and outstanding: none | - | - | - |
| Common stock, $0.01 par value: Authorized: 75,000 shares; | | | |
| Issued and outstanding: 32,663 shares, 32,491 shares and 32,480 shares at September 25, 2026, June 26, 2026, and May 29, 2026, respectively | 327 | 325 | 325 |
| Additional paid-in capital | 247,669 | 249,888 | 249,477 |
| Accumulated other comprehensive loss | (136) | (132) | (105) |
| Accumulated deficit | (25,748) | (32,929) | (30,186) |
| Total shareholders' equity | 222,112 | 217,152 | 219,511 |
| Total liabilities and shareholders' equity | $ 258,782 | $ 245,305 | $ 246,694 |

*Aehr condensed consolidated balance sheets, November 2, 2026. USD thousands except par value.*

Source: original issuer exhibit

# Primary cash-flow statement

Aehr Test Systems | Unaudited issuer exhibit | 2 November 2026

Q1 operating cash use of $3.054M and cash PP&E purchases of $0.049M form the reported FCF bridge. Cash including restricted cash fell $7.406M to $105.052M.

**AEHR TEST SYSTEMS**
**CONDENSED CONSOLIDATED SATEMENTS OF CASH FLOWS**
**(Unaudited)**

| | Three Months Ended | | One Month Ended |
|---|---|---|---|
| (In thousands) | September 25, 2026 | August 29, 2025 | June 26, 2026 |
| **Cash flows from operating activities:** | | | |
| Net income (loss) | $ 7,181 | $ (2,084) | $ (2,743) |
| Adjustments to reconcile net income (loss) to net cash used in operating activities: | | | |
| Stock-based compensation expense | 1,880 | 1,671 | 448 |
| Depreciation and amortization | 707 | 743 | 228 |
| Deferred income taxes | (354) | (761) | (937) |
| Amortization of operating lease right-of-use assets | 200 | 179 | 63 |
| Changes in operating assets and liabilities: | | | |
| Accounts receivable | (10,686) | 1,140 | 1,492 |
| Inventories | (9,037) | 218 | (3,035) |
| Prepaid expenses and other current assets | (1,367) | 1,576 | (484) |
| Accounts payable | 6,230 | (2,401) | (219) |
| Accrued expenses | 998 | 505 | (76) |
| Deferred revenue | 1,275 | (863) | 1,529 |
| Operating lease liabilities | (164) | (215) | (88) |
| Income taxes payable | 83 | 10 | 10 |
| **Net cash used in operating activities** | (3,054) | (282) | (3,812) |
| | | | |
| **Cash flows from investing activities:** | | | |
| Purchases of property and equipment | (49) | (1,391) | (4) |
| **Net cash used in investing activities** | (49) | (1,391) | (4) |
| | | | |
| **Cash flows from financing activities:** | | | |
| Proceeds from issuance of common stock under employee plans | 337 | 170 | 13 |
| Shares repurchased for tax withholdings on vesting of restricted stock units | (4,474) | (328) | (71) |
| Payments for common stock issuance costs related to the public offering | (161) | - | (176) |
| **Net cash used in financing activities** | (4,298) | (158) | (234) |
| | | | |
| Effect of exchange rate changes on cash, cash equivalents and restricted cash | (5) | 9 | - |
| | | | |
| **Net decrease in cash, cash equivalents and restricted cash** | (7,406) | (1,822) | (4,050) |
| | | | |
| **Cash, cash equivalents and restricted cash, beginning of period**[1] | 112,458 | 26,480 | 116,508 |
| **Cash, cash equivalents and restricted cash, end of period** [1] | $ 105,052 | $ 24,658 | $ 112,458 |
| | | | |
| **Supplemental disclosure of non-cash flow information:** | | | |
| Net transfer of equipment between inventory and property and equipment | $ 367 | $ - | $ - |
| Right-of-use assets obtained in exchange for operating leases liabilities | $ 174 | $ - | $ - |

*Aehr condensed consolidated statement of cash flows, November 2, 2026. USD thousands.*

Source: original issuer exhibit

# Working capital and noncash schedules

All rows are Model. USD millions except inventory days.

| Quarter | AR | Inventory | AP | Deferred revenue | SBC | D&A | Inventory days |
|---|---|---|---|---|---|---|---|
| Q4 2026 | 29.433 | 57.394 | 14.349 | 8.993 | 1.894 | 0.714 | 260 |
| Q1 2027 | 32.652 | 59.234 | 15.401 | 9.977 | 1.908 | 0.721 | 250 |
| Q2 2027 | 43.209 | 74.304 | 20.124 | 13.203 | 1.922 | 0.728 | 240 |
| Q3 2027 | 47.524 | 77.064 | 21.779 | 14.521 | 1.936 | 0.735 | 230 |
| Q4 2027 | 54.745 | 84.133 | 24.858 | 16.728 | 1.951 | 0.743 | 220 |
| Q1 2028 | 60.977 | 87.658 | 27.132 | 18.632 | 1.965 | 0.750 | 210 |
| Q2 2028 | 67.445 | 91.227 | 29.649 | 20.608 | 1.980 | 0.757 | 200 |
| Q3 2028 | 74.269 | 94.268 | 32.250 | 22.693 | 1.994 | 0.765 | 190 |
| Q4 2028 | 81.092 | 97.126 | 35.073 | 24.778 | 2.009 | 0.772 | 180 |
| Q1 2029 | 87.561 | 104.456 | 37.720 | 26.755 | 2.024 | 0.780 | 180 |
| Q2 2029 | 93.595 | 111.655 | 40.320 | 28.599 | 2.039 | 0.788 | 180 |
| Q3 2029 | 99.630 | 118.379 | 42.748 | 30.442 | 2.054 | 0.795 | 180 |
| Q4 2029 | 105.073 | 124.846 | 45.083 | 32.106 | 2.070 | 0.803 | 180 |
| Q1 2030 | 108.701 | 129.158 | 46.640 | 33.214 | 2.085 | 0.811 | 180 |
| Q2 2030 | 112.685 | 133.891 | 48.350 | 34.432 | 2.100 | 0.819 | 180 |
| Q3 2030 | 115.052 | 136.703 | 49.365 | 35.155 | 2.116 | 0.827 | 180 |
| Q4 2030 | 117.773 | 139.937 | 50.533 | 35.986 | 2.132 | 0.835 | 180 |

Future cash tax equals modeled book tax. The actual-quarter tax benefit stays with actual results. Future vesting, withholding, acquisitions or large capital programs require an updated cash and share schedule.

# Operating cash-flow construction

All forecast quarters. USD millions. Noncash items and working-capital changes reconcile net income to OCF.

| Quarter | Net income | SBC | D&A | AR change | Inventory change | AP change | Deferred change | OCF |
|---|---|---|---|---|---|---|---|---|
| Q4 2026 | 5.994 | 1.894 | 0.714 | -2.803 | -4.274 | 1.845 | 0.963 | 4.333 |
| Q1 2027 | 7.666 | 1.908 | 0.721 | -3.219 | -1.840 | 1.052 | 0.984 | 7.272 |
| Q2 2027 | 11.897 | 1.922 | 0.728 | -10.556 | -15.070 | 4.723 | 3.226 | -3.130 |
| Q3 2027 | 13.841 | 1.936 | 0.735 | -4.315 | -2.760 | 1.655 | 1.318 | 12.412 |
| Q4 2027 | 16.920 | 1.951 | 0.743 | -7.222 | -7.069 | 3.079 | 2.207 | 10.607 |
| Q1 2028 | 19.969 | 1.965 | 0.750 | -6.232 | -3.525 | 2.275 | 1.904 | 17.107 |
| Q2 2028 | 23.011 | 1.980 | 0.757 | -6.468 | -3.568 | 2.516 | 1.976 | 20.204 |
| Q3 2028 | 26.291 | 1.994 | 0.765 | -6.823 | -3.042 | 2.601 | 2.085 | 23.870 |
| Q4 2028 | 29.358 | 2.009 | 0.772 | -6.823 | -2.857 | 2.823 | 2.085 | 27.368 |
| Q1 2029 | 32.323 | 2.024 | 0.780 | -6.468 | -7.330 | 2.647 | 1.976 | 25.951 |
| Q2 2029 | 34.948 | 2.039 | 0.788 | -6.035 | -7.199 | 2.600 | 1.844 | 28.985 |
| Q3 2029 | 37.772 | 2.054 | 0.795 | -6.035 | -6.724 | 2.428 | 1.844 | 32.134 |
| Q4 2029 | 40.195 | 2.070 | 0.803 | -5.443 | -6.467 | 2.335 | 1.663 | 35.156 |
| Q1 2030 | 41.872 | 2.085 | 0.811 | -3.629 | -4.312 | 1.557 | 1.109 | 39.493 |
| Q2 2030 | 43.724 | 2.100 | 0.819 | -3.984 | -4.733 | 1.709 | 1.217 | 40.853 |
| Q3 2030 | 44.903 | 2.116 | 0.827 | -2.367 | -2.812 | 1.015 | 0.723 | 44.406 |
| Q4 2030 | 46.252 | 2.132 | 0.835 | -2.721 | -3.234 | 1.168 | 0.832 | 45.263 |

ROU amortization and the lease-liability adjustment are each $0.200M and offset in the selected schedule. Working-capital values show signed cash effects. OCF retains the modeled cash-tax charge through net income.

# Tax, interest and financing

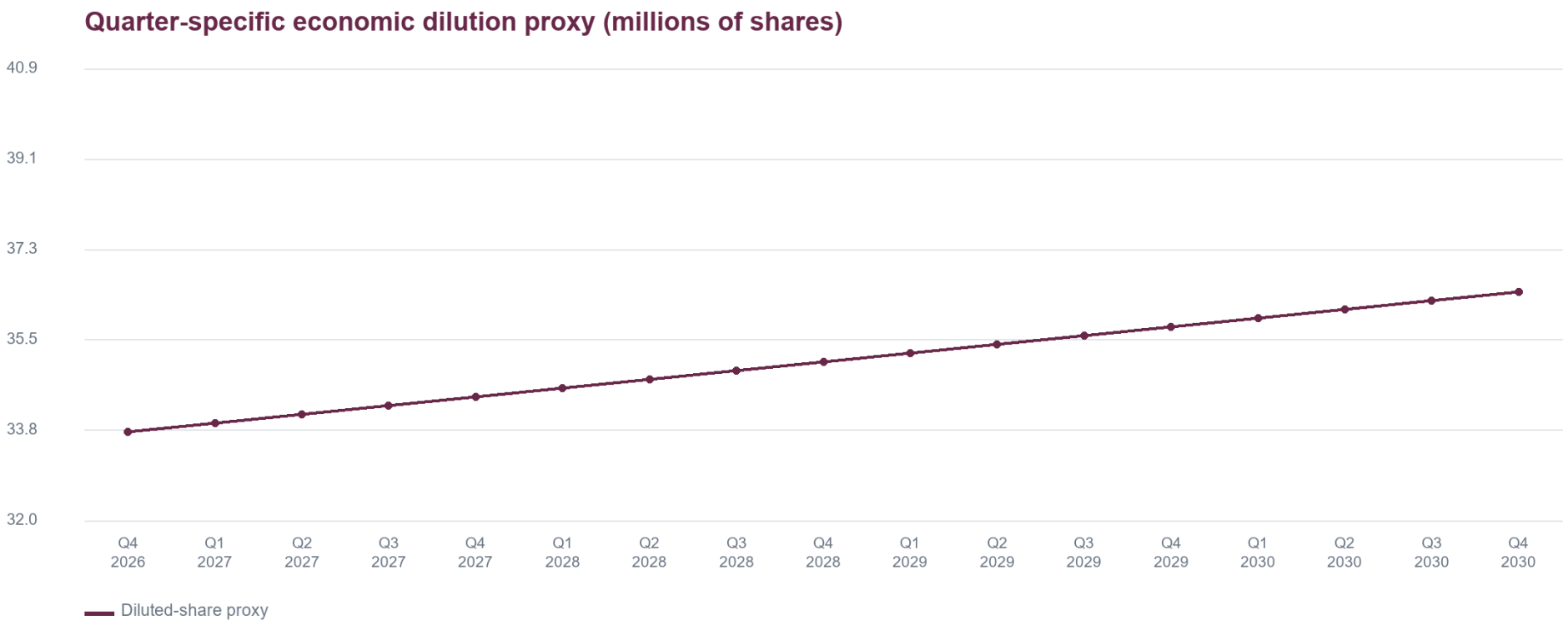
All rows are Model. USD millions. Book and cash tax are equal under the selected 25% assumption.

| Quarter | GAAP OP | Interest | Pretax | Book/cash tax | Net income | Employee cash | RSU cash | Other finance |
|---|---|---|---|---|---|---|---|---|
| Q4 2026 | 7.126 | 0.867 | 7.993 | 1.998 | 5.994 | 0.337 | -4.474 | 0.000 |
| Q1 2027 | 9.359 | 0.862 | 10.221 | 2.555 | 7.666 | 0.337 | -4.474 | 0.000 |
| Q2 2027 | 14.982 | 0.881 | 15.863 | 3.966 | 11.897 | 0.337 | -4.474 | 0.000 |
| Q3 2027 | 17.643 | 0.812 | 18.455 | 4.614 | 13.841 | 0.337 | -4.474 | 0.000 |
| Q4 2027 | 21.689 | 0.871 | 22.560 | 5.640 | 16.920 | 0.337 | -4.474 | 0.000 |
| Q1 2028 | 25.713 | 0.913 | 26.626 | 6.656 | 19.969 | 0.337 | -4.474 | 0.000 |
| Q2 2028 | 29.674 | 1.007 | 30.681 | 7.670 | 23.011 | 0.337 | -4.474 | 0.000 |
| Q3 2028 | 33.929 | 1.125 | 35.054 | 8.764 | 26.291 | 0.337 | -4.474 | 0.000 |
| Q4 2028 | 37.872 | 1.273 | 39.145 | 9.786 | 29.358 | 0.337 | -4.474 | 0.000 |
| Q1 2029 | 41.649 | 1.447 | 43.097 | 10.774 | 32.323 | 0.337 | -4.474 | 0.000 |
| Q2 2029 | 44.988 | 1.609 | 46.598 | 11.649 | 34.948 | 0.337 | -4.474 | 0.000 |
| Q3 2029 | 48.567 | 1.795 | 50.362 | 12.591 | 37.772 | 0.337 | -4.474 | 0.000 |
| Q4 2029 | 51.588 | 2.005 | 53.593 | 13.398 | 40.195 | 0.337 | -4.474 | 0.000 |
| Q1 2030 | 53.590 | 2.239 | 55.829 | 13.957 | 41.872 | 0.337 | -4.474 | 0.000 |
| Q2 2030 | 55.791 | 2.508 | 58.299 | 14.575 | 43.724 | 0.337 | -4.474 | 0.000 |
| Q3 2030 | 57.083 | 2.787 | 59.870 | 14.968 | 44.903 | 0.337 | -4.474 | 0.000 |
| Q4 2030 | 58.574 | 3.095 | 61.670 | 15.417 | 46.252 | 0.337 | -4.474 | 0.000 |

Cash change equals FCF plus employee-plan proceeds, RSU withholding and other financing. The model carries no new debt, ATM financing, acquisition or dividend. Ending cash appears in the cash-generation table.

# Dilution and per-share economics

Figure F07 | Future share counts are explicit quarter-specific assumptions.




*F07. Opening proxy: 32.663M outstanding plus 0.901M dilution. Each future quarter adds 0.172M net shares as a continuation assumption.*

The opening 33.564M economic dilution proxy combines 32.663M outstanding shares with the latest 0.901M diluted-versus-basic weighted-average increment. Each future quarter adds 0.172M net shares, continuing the most recent reported increase.

Reported diluted shares of 33.520M are a period average. Option moneyness, award vesting and withholding can alter the future denominator. The model carries the recent withholding cash run rate alongside the share forecast.

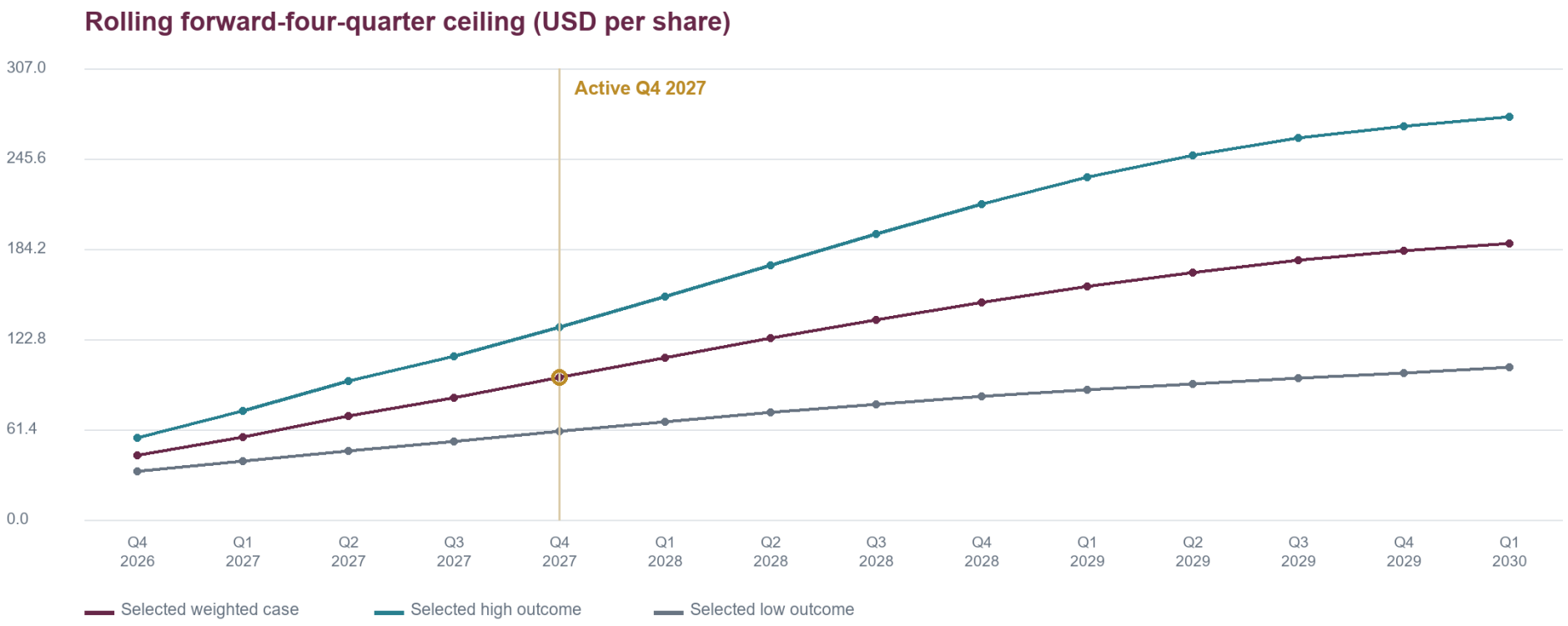
# Dilution | Numerical schedule

F07 supporting data. Millions of shares; selected quarterly net increase: 0.172M.

| Quarter | Diluted-share proxy | Increase from opening 33.564M |
|---|---|---|
| Q4 2026 | 33.736000 | 0.172000 |
| Q1 2027 | 33.908000 | 0.344000 |
| Q2 2027 | 34.080000 | 0.516000 |
| Q3 2027 | 34.252000 | 0.688000 |
| Q4 2027 | 34.424000 | 0.860000 |
| Q1 2028 | 34.596000 | 1.032000 |
| Q2 2028 | 34.768000 | 1.204000 |
| Q3 2028 | 34.940000 | 1.376000 |
| Q4 2028 | 35.112000 | 1.548000 |
| Q1 2029 | 35.284000 | 1.720000 |
| Q2 2029 | 35.456000 | 1.892000 |
| Q3 2029 | 35.628000 | 2.064000 |
| Q4 2029 | 35.800000 | 2.236000 |
| Q1 2030 | 35.972000 | 2.408000 |
| Q2 2030 | 36.144000 | 2.580000 |
| Q3 2030 | 36.316000 | 2.752000 |
| Q4 2030 | 36.488000 | 2.924000 |

# Quarterly valuation and the active horizon

Figure F08 | Active horizon: Q4 2027. Earnings window: Q4 2027-Q3 2028.




*F08. Each point uses its quarter and next three quarters, 30x GAAP operating profit and quarter-specific diluted shares. Other lines are conditional outcomes.*

Each ceiling uses the selected quarter and next three quarters, valued at 30x GAAP operating profit and divided by the diluted shares assigned to the ceiling quarter. Conditional outcomes show the modeled operating hypotheses and timing.

The current Q4 2027 result is $96.738926. A $145.108389 sensitivity threshold equals exactly 1.5 times that result and requires additional successful production volume. The next page shows every complete rolling window.

# Complete quarterly ceiling path

F08 supporting data. USD millions for revenue and OP; USD per share for ceilings. Six-decimal display precision.

| Quarter | Window end | F4Q revenue | F4Q GAAP OP | Multiple | Diluted M | Ceiling |
|---|---|---|---|---|---|---|
| Q4 2026 | Q3 2027 | 193.144536 | 49.109966 | 30x | 33.736000 | 43.671419 |
| Q1 2027 | Q4 2027 | 225.136336 | 63.672935 | 30x | 33.908000 | 56.334436 |
| Q2 2027 | Q1 2028 | 260.935411 | 80.027075 | 30x | 34.080000 | 70.446368 |
| Q3 2027 | Q2 2028 | 291.567950 | 94.719077 | 30x | 34.252000 | 82.960770 |
| Q4 2027 | Q3 2028 | 325.370950 | 111.004693 | 30x | 34.424000 | 96.738926 |
| Q1 2028 | Q4 2028 | 358.670750 | 127.187698 | 30x | 34.596000 | 110.291101 |
| Q2 2028 | Q1 2029 | 392.269650 | 143.123853 | 30x | 34.768000 | 123.496191 |
| Q3 2028 | Q2 2029 | 425.320200 | 158.438350 | 30x | 34.940000 | 136.037507 |
| Q4 2028 | Q3 2029 | 457.373750 | 173.077132 | 30x | 35.112000 | 147.878616 |
| Q1 2029 | Q4 2029 | 487.682550 | 186.793667 | 30x | 35.284000 | 158.820145 |
| Q2 2029 | Q1 2030 | 514.402150 | 198.734398 | 30x | 35.456000 | 168.152976 |
| Q3 2029 | Q2 2030 | 538.529550 | 209.536746 | 30x | 35.628000 | 176.437139 |
| Q4 2029 | Q3 2030 | 558.020900 | 218.052281 | 30x | 35.800000 | 182.725375 |
| Q1 2030 | Q4 2030 | 574.072600 | 225.038213 | 30x | 35.972000 | 187.677816 |

Q2-Q4 2030 ceilings remain blank because required later forecast quarters are absent. The separate published-history record preserves earlier forecasts and rolling ceilings. The current report contains the current model.

# Pricing-risk schedule

Current model retains a 30% adverse-outcome probability, 20% exposure proxy and 5% conditional concession.

| Quarter | Phase | Weighted price loss | Expense relief | OP reduction |
|---|---|---|---|---|
| Q4 2026 | 0.00% | 0.000 | 0.000 | 0.000 |
| Q1 2027 | 25.00% | 0.031 | 0.002 | 0.029 |
| Q2 2027 | 50.00% | 0.082 | 0.004 | 0.078 |
| Q3 2027 | 75.00% | 0.135 | 0.007 | 0.129 |
| Q4 2027 | 100.00% | 0.208 | 0.010 | 0.198 |
| Q1 2028 | 100.00% | 0.232 | 0.012 | 0.220 |
| Q2 2028 | 100.00% | 0.257 | 0.013 | 0.244 |
| Q3 2028 | 100.00% | 0.282 | 0.014 | 0.268 |
| Q4 2028 | 100.00% | 0.308 | 0.015 | 0.293 |
| Q1 2029 | 100.00% | 0.333 | 0.017 | 0.316 |
| Q2 2029 | 100.00% | 0.356 | 0.018 | 0.338 |
| Q3 2029 | 100.00% | 0.379 | 0.019 | 0.360 |
| Q4 2029 | 100.00% | 0.400 | 0.020 | 0.380 |
| Q1 2030 | 100.00% | 0.413 | 0.021 | 0.393 |
| Q2 2030 | 100.00% | 0.429 | 0.021 | 0.407 |
| Q3 2030 | 100.00% | 0.438 | 0.022 | 0.416 |
| Q4 2030 | 100.00% | 0.448 | 0.022 | 0.426 |

The exposure is a low-confidence proxy for contestable Sonoma and new orders. The model applies the risk once, after combining revenue pools. This schedule displays the probability-weighted revenue and cost effects.

# Conditional outcomes and the +50% threshold

Same active earnings window, 30x OP method and 34.424M shares in each comparison.

| Outcome | F4Q revenue $M | F4Q OP $M | USD/share |
|---|---|---|---|
| Core with pricing probability | 231.304000 | 70.515838 | 61.453496 |
| Selected low outcome | 229.680000 | 68.973038 | 60.108969 |
| Selected probability-weighted case | 325.370950 | 111.004693 | 96.738926 |
| Selected high outcome | 414.500000 | 150.019900 | 130.740095 |
| High outcome, 1.5x benchmark units | 486.000000 | 180.908550 | 157.659090 |

A $145.108389 outcome requires $166.507039M F4Q OP at the selected shares and multiple, $55.502346M above the current case. Under the high-outcome cost and margin assumptions, this requires about 27.871 benchmark production bundles across four quarters, compared with 22 in the selected high outcome.

The threshold also requires the other high-outcome assumptions. It identifies the production evidence needed to support the valuation; the source provides no such order count or probability that all outcomes occur.

Local sensitivity

| Change | Active ceiling effect |
|---|---|
| +1 percentage point F4Q gross margin | $2.836/share |
| +$1M annual operating expense | $-0.871/share |

# Analytical score and supply-chain context

Current analytical score: 53/60 = 88%. Protected workbook Base: 93%.

Current assessment

| Factor | Score | Rationale |
|---|---|---|
| Core thesis | 20/20 | FOX wafer-level IP and thermal control remain central; package competition is reflected in risk. |
| Cycle stage | 9/10 | Record revenue and backlog support the ramp; further qualification and production deployment continue. |
| TAM expansion | 9/10 | AI, optics and power broaden the opportunity; NAND is slower and HBM remains conditional. |
| Catalysts | 5/5 | Taiwan evaluation and the second Sonoma ramp are dated near-term catalysts. |
| Macro | 10/10 | AI compute and optical infrastructure remain the main demand drivers. |
| Alpha | 4/5 | Program economics and burn-in timing require source-level analysis. |
| Risks | -4 | One point each: concentration, qualification timing, working-capital execution and competitive pricing. |

The positive factors total 57 points; the four-point risk deduction produces 53. The protected workbook value remains a separate owner-controlled input.

Cross-book context: Tower Semiconductor participates in photonics manufacturing; Sivers participates in optical components; Aehr supplies screening equipment and consumables. AI chip suppliers and OSAT partners determine qualification and acceptance schedules. These roles share architecture demand while capturing separate revenue pools.

# Risks, falsification tests and reweighting

Update defined probabilities, unit schedules and cost inputs as evidence changes.

| Risk / outcome | Evidence to monitor | Model response |
|---|---|---|
| Benchmark qualification | Installation, validation, production POs, device and site scope | Reweight timely/delayed/failure outcomes and bundle schedules |
| Existing production | Backlog conversion, requests, follow-on orders and customer capacity | Update core and upside with overlap reconciliation |
| Photonics, SiC and GaN | Sized orders, utilization and repeat contactor purchases | Replace allocation proxies when disclosure supports it |
| NAND and HBM | Development commitments, capacity and paid pilot deliveries | Change probability, unique share and timing |
| Pricing and competition | Realized Sonoma prices, capabilities and accepted customer wins/losses | Reweight the scoped pricing effect and cost relief |
| Cash and dilution | Receivables, inventory, vesting, withholding, capex and financing | Rebuild cash and shares before per-share valuation |

The largest uncertainties are future product margins, incremental customer volumes, acceptance timing, inventory productivity and net dilution. A technical opportunity supplies a research hypothesis; the model assigns explicit bounded quantities and dates to the missing economics.

# Source register and model definitions

Issuer documents anchor actuals and guidance; call-only details retain their transcript source status.

Aehr: November 2 earnings and financial tables

SEC: November 2 Exhibit 99.1

Aehr: October 7 Sonoma follow-on order

Benzinga syndicated call preserved at Webull

PhotonCap: October 7 platform diagram

Irrational Analysis: March 5 device-physics context

The syndicated call is an automated transcript. Primary audio remains registration-gated. Conflicting transcript SiC and mix figures are excluded from adopted baselines. Socially inferred customer identities remain unresolved.

Revenue, profit, cost, cash and balance values use USD millions; shares use millions; EPS and ceilings use USD per share. Fiscal 2027 ends June 25, 2027 and excludes the transition month. Future rows are Model; the June 27-September 25 quarter is Actual and shown separately.

FCF means operating cash flow less cash PP&E. The valuation numerator is GAAP operating profit. Category margins, mix, program units, tax, working capital, capital spending and future shares are forecast assumptions. The companion AEHR_AehrTestSystems_DeepDive_Formula_Model.xlsx owns the live calculation. Full precision is retained in the calculation source.